

ECON 0100 | Vignette B2 | Supply

Q1 | Consumer Surplus

Members of the wizarding world have preferences for pumpkin pasties according to the following demand curve:

$$P_d = 12 - \frac{1}{2}Q_d$$

Prices are in galleons and quantity is in pasties.

a) Plot and find the area of consumer surplus at a price of 10 galleons.

b) Plot and find the area of consumer surplus at a price of 5 galleons.

c) How much did consumer surplus change as the price dropped from 10 to 5? _____

Q2 | Quantity Supplied

Pumpkin pasties are produced by many sellers according to the following supply curve:

$$P = 2 + \frac{1}{2}Q_s$$

Prices are in galleons and quantity is in pasties.

- a) Find and plot the quantity supplied at a price of 10 galleons. _____
- b) Find and plot the quantity supplied at a price of 5 galleons. _____
- c) How much did quantity supplied change as the price dropped from 10 to 5? _____
- d) What is marginal cost at 8 pasties? _____

Q3 | Producer Surplus

Use a graph to plot this supply curve, and find and label the producer surplus at both 5 galleons and 10 galleons.

PS at 5 galleons: _____

PS at 10 galleons: _____

- c) How much did producer surplus change as the price dropped from 10 to 5? _____